UNITED STATES OF AMERICA
Before the SECURITIES AND EXCHANGE COMMISSION

INVESTMENT ADVISERS ACT OF 1940 Release No. 6912 / March 14, 2025
ADMINISTRATIVE PROCEEDING File No. 3-21987

In the Matter of **MARCHWOOD ASSET MANAGEMENT LLC**, Respondent.

ORDER MAKING FINDINGS AND IMPOSING REMEDIAL SANCTIONS AND A CEASE-AND-DESIST ORDER PURSUANT TO SECTIONS 203(e) AND 203(k) OF THE INVESTMENT ADVISERS ACT OF 1940

I.

On February 8, 2024 the Commission instituted proceedings against Marchwood Asset Management LLC. Respondent has submitted an Offer of Settlement, which the Commission has determined to accept. Respondent admits the Commission's jurisdiction and, without admitting or denying the findings herein except as to jurisdiction, consents to the entry of this Order.

II.

On the basis of this Order and Respondent's Offer, the Commission finds that:

A. The 2011 examination and Respondent's undertaking

1. In 2011 the staff of the Philadelphia Regional Office examined Respondent under examination number 2011-0447. By deficiency letter dated April 20, 2011 the staff identified, at Item 4, Respondent's standing authority to instruct client custodians to withdraw or transfer funds or securities — an authority not limited to Respondent's advisory fee — as custody within the meaning of Rule 206(4)-2(d)(2)(ii), across 214 accounts holding approximately $198 million; stated that the exception at Rule 206(4)-2(b)(3) was therefore unavailable; and identified Respondent's failure to obtain the surprise examination required by Rule 206(4)-2(a)(4).
2. By letter dated June 2, 2011, signed by its chief compliance officer and its managing member, Respondent accepted Item 4, represented that it had transferred the affected accounts to an unaffiliated qualified custodian under agreements conferring no withdrawal authority, represented that it had discontinued the direct fee-debit instruction firm-wide and would not resume it, and undertook to apply the same treatment to advisory accounts acquired or onboarded in the future. The letter states that the undertaking "is not limited to calendar year 2010 or to any other period and is given without an expiration date."

3. The staff closed the examination on June 28, 2011 on the basis of the corrective actions described in Respondent's June 2, 2011 letter.
4. On October 21, 2013 Respondent voluntarily reported to the staff that it had applied the undertaking to sixty-one accounts acquired from Hollis Grange Advisers, Inc.

B. The conduct at issue

5. In the first quarter of 2019 Respondent adopted a third-party billing platform and amended its standard investment advisory agreement to add a withdrawal-authorization clause in substantially the terms of the clause removed in 2011, reaching client funds and securities generally rather than Respondent's advisory fee alone. From March 2019 through September 2023 Respondent instructed client custodians to debit advisory fees directly from client accounts through that platform, across 431 accounts holding approximately $497 million.
6. Respondent had custody of client funds within the meaning of Rule 206(4)-2(d)(2)(ii) throughout that period, and the exception at Rule 206(4)-2(b)(3) was unavailable because the authority was not limited to Respondent's advisory fee. Respondent obtained no surprise examination for 2019, 2020, 2021 or 2022, filed no Form ADV-E, and answered "No" to Items 9.A.(1)(a) and 9.A.(1)(b) of Part 1 of Form ADV in each annual updating amendment filed during the period. The instruction to Item 9 permits a "No" answer where an adviser has custody solely because it deducts advisory fees; Respondent's custody did not arise solely from that authority.
7. Respondent's compliance policies and procedures in force during the period contained no policy or procedure addressing custody. The custody procedure adopted in May 2011 was not carried forward into the compliance manual adopted in 2017.
8. Of the 431 accounts, 138, holding approximately $38.5 million, were acquired or onboarded after June 2, 2011 and were therefore within the express terms of Respondent's undertaking.

C. Violations

9. Respondent willfully violated Section 206(4) of the Advisers Act and Rule 206(4)-2 thereunder; Section 206(4) and Rule 206(4)-7 thereunder; and Section 207 of the Advisers Act.

D. Respondent's remedial efforts

10. In determining to accept the Offer, the Commission considered that from February 2025 Respondent ceased contesting the proceeding and withdrew its challenge to this forum, terminated the arrangement, transferred the affected accounts to a qualified custodian under agreements conferring no withdrawal authority, engaged an independent public accountant, and amended its Form ADV. Disgorgement is measured against the 138 accounts within the express terms of Respondent's 2011 undertaking rather than against the full population of 431 accounts, which the Division's prehearing submission had put at $4,300,000 in total relief.

III.

Accordingly, it is hereby ORDERED that:

A. Respondent cease and desist from committing or causing any violations and any future violations of Sections 206(4) and 207 of the Advisers Act and Rules 206(4)-2 and 206(4)-7 thereunder.

B. Respondent is censured.

C. Respondent shall pay disgorgement, prejudgment interest and a civil money penalty as follows:

Component	Amount
Disgorgement — advisory fees debited from the 138 accounts within the terms of the undertaking, March 2019 through September 2023	$1,412,000
Prejudgment interest	$137,000
Civil money penalty pursuant to Section 203(i) of the Advisers Act	$601,000
Total	**$2,150,000**

Payment shall be made in four installments over twelve months in accordance with the schedule in Respondent's Offer.

D. Respondent shall comply with the following undertakings:

1. **Custody.** Respondent shall not hold, and shall not accept, any authority to withdraw, transfer or debit client funds or securities maintained with a custodian upon Respondent's instruction, other than as permitted by an exception in Rule 206(4)-2 and disclosed in Item 9 of Part 1 of Form ADV.
2. **Acquired and onboarded accounts.** The obligation in paragraph D.1 applies to accounts acquired as part of a purchase of another adviser's book of business, accounts transferred in from a predecessor adviser, and newly opened accounts.
3. **Independent compliance consultant.** Respondent shall retain an independent compliance consultant, not unacceptable to the staff, to review its custody, billing and Form ADV procedures and to report to the staff at twelve and twenty-four months.
4. **Certification.** Respondent's chief compliance officer shall certify compliance with paragraphs D.1 through D.3 annually for three years.

E. Respondent's notice of intent to seek fees and expenses under the Equal Access to Justice Act, given November 12, 2024, was withdrawn by Respondent on February 21, 2025, no application was filed, and no award is made.

By the Commission.